



# Analyze a stock in less than 5 minutes

Step-by-step approach to investigate whether a stock might be interesting



COMPOUNDING QUALITY

SEP 15, 2022



112



24

Share

Finding time to analyze stocks is a problem we all have.

In this article, we will show you how you can check whether a stock might be worth researching in less than 5 minutes.

If you are not part of the Compounding Quality Family yet, you can subscribe for free via the button hereunder:

Subscribe

## Find a reason to say 'no' as soon as possible

When I analyze a stock, I try to find a reason to say 'no' as soon as possible. When you haven't found a reason within a few minutes, you found a potentially interesting stock.

We will teach you how to do this in 6 steps via Morningstar's website. We take Quality Company Adobe (\$ADBE) as an example.

## Step 1: Look at the company profile

Go to [www.morningstar.com](http://www.morningstar.com) and take a look at the company profile of the firm you are looking at.

Make sure that you understand how the company makes money. If you don't understand the business model, you can stop looking at the stock right away.

You want a company that is active in a strongly growing end market.

## Company Profile ADBE

### Business Description

Adobe provides content creation, document management, and digital marketing and advertising software and services to creative professionals and marketers for creating, managing, delivering, measuring, optimizing and engaging with compelling content multiple operating systems, devices and media. The company operates with three segments: digital media content creation, digital experience for marketing solutions, and publishing for legacy products (less than 5% of revenue).

## Step 2: Invest in very profitable companies

Go to the tab 'Operating Performance' and look at the profitability.

You want to invest in companies with a consistent gross margin of at least 50% and a profit margin of at least 15%.

When a company has a high and robust gross margin, it is a great indication that the business has a competitive advantage.

| ■ Gross Margin %     | 86.00 | 86.16 | 86.77 | 85.03 | 86.62 | 88.19 | 87.87 | 86.61 |
|----------------------|-------|-------|-------|-------|-------|-------|-------|-------|
| ■ Operating Margin % | 25.49 | 29.69 | 31.45 | 29.25 | 32.93 | 36.76 | 36.25 | 32.22 |
| — Net Margin %       | 19.96 | 23.20 | 28.69 | 26.42 | 40.88 | 30.55 | 29.29 | 29.96 |

## Step 3: Look at the capital allocation

Still on the 'Operating Performance' tab of Morningstar, look at the capital allocation metrics of the company.

You want a high and consistent ROIC. Look for companies with a ROIC of more than 20%. Adobe ticks this box.



## Step 4: Only invest in winners

As a Quality Investor, you only want to invest in winners.

Via the tab trailing returns you can look at the annual stock price performance over the past 15 years. You want a stock that managed to compound with at least 10% per year over the past decade (the return we are targeting as a quality investor).

Furthermore, you are looking for a stock that managed to outperform their industry as well as the index. This clearly is the case for Adobe.



### Trailing Returns

Daily Monthly Quarterly



As of Aug 31, 2022 | Industry: Software - Infrastructure | Index: Morningstar US Market TR USD

## Step 5: Structural growth is essential

Go to the tab 'valuation' and scroll down to the key statistics. Click on 'growth' there.

Buy companies who managed to grow their revenue with at least 10% per year over the past 3 years and their EPS with at least 15%.

Adobe managed to grow its revenue with 20.5% over the past 3 years (!).

| Growth (3-Year Annualized) |                    |              |               |
|----------------------------|--------------------|--------------|---------------|
| Revenue %                  | Operating Income % | Net Income % | Diluted EPS % |
| 20.46                      | 26.88              | 23.01        | 24.44         |

As of Nov 30, 2021 | Restated Data

## Step 6: Don't overpay

Look at the valuation of the company (you can do this via the 'Valuation' tab on Morningstar).

You don't want to pay too much for Quality Stocks. Compare the current price/cash flow ratio with the average price/cash flow ratio of the company over the past 5 years.

You want a company that is currently trading at a discount compared to its average valuation of the past 5 years.

This is the case for Adobe as they are trading at a price/cash flow of 24.5 while the average price/cash flow over the past 5 years was 36.2.

| Valuation              |        |       |        |        |        |        |         |        |       |
|------------------------|--------|-------|--------|--------|--------|--------|---------|--------|-------|
| Calendar               | 2016   | 2017  | 2018   | 2019   | 2020   | 2021   | Current | 5-Yr   | Index |
|                        | 145.40 |       |        |        |        |        |         |        |       |
| Price/Sales            | 8.87   | 12.03 | 12.47  | 14.51  | 18.85  | 17.28  | 10.67   | 15.49  | 2.23  |
| Price/Earnings         | 44.38  | 51.85 | 43.51  | 54.97  | 46.18  | 56.59  | 36.47   | 52.42  | 17.91 |
| Price/Cash Flow        | 23.60  | 30.15 | 27.95  | 36.67  | 42.35  | 37.76  | 24.47   | 36.16  | 14.24 |
| Price/Book             | 6.86   | 10.18 | 11.78  | 15.11  | 18.06  | 18.20  | 12.50   | 15.44  | 3.36  |
| Price/Forward Earnings | 27.25  | 31.75 | 29.07  | 33.67  | 44.44  | 40.82  | 23.58   | 36.61  | —     |
| PEG Ratio              | 1.48   | 1.64  | 1.45   | 1.73   | 2.48   | 2.21   | 1.35    | 1.83   | —     |
| Earnings Yield %       | 2.25   | 1.93  | 2.30   | 1.82   | 2.17   | 1.77   | 2.74    | 1.96   | —     |
| Enterprise Value (Bil) | 48.02  | 82.15 | 111.22 | 159.04 | 238.27 | 268.23 | 174.13  | 176.35 | —     |

## Potential quality stock

You didn't find anything that turned you off in these 6 steps? Good! You have found a potential Quality Stock. Now you can put the company on your watchlist and analyze the company more thoroughly.

In a deeper analysis, you should look at the moat, the integrity of management, the capital intensity, expected growth, and so on.

372,28 USD

+ Follow

+372.07 (169,120.45%) ↑ all time

14 Sept, 11:48 GMT-4 • Disclaimer

1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max



|      |        |           |         |            |        |
|------|--------|-----------|---------|------------|--------|
| Open | 369,57 | Mkt cap   | 174,23B | CDP score  | A-     |
| High | 373,37 | P/E ratio | 36,36   | 52-wk high | 699,54 |
| Low  | 365,61 | Div yield | -       | 52-wk low  | 338,00 |

Feedback

More about Adobe Inc →

## More from us

Do you want to read more from us? Please subscribe to our Substack where we provide investors with investment insights on a weekly basis. You can also follow us on [Twitter](#) and [Linkedin](#).

Subscribe

## About the author

Compounding Quality is a professional investor which manages a worldwide equity fund with more than \$150 million in Assets Under Management. We have read over 500 investment books and spend more than 50 hours per week researching stocks.

Subscribe



112 Likes · 4 Restacks

← Previous

Next →

## 24 Comments



Write a comment...



Robert Ligtvoet · Dec 28, 2023 ❤️ Liked by Compounding Quality

I see Adobe as one of the companies that's going to be annihilated by AI. Graphical design is going to be commoditized by AI companies such as midjourney. If everything can be done with a prompt, 100s of hours of experience is not going to be necessary anymore. High switching costs? No more.

♡ LIKE (2) 💬 REPLY ↗ SHARE ...

1 reply by Compounding Quality



Nicolau · Apr 2 ❤️ Liked by Compounding Quality

Hi, i found you for the first time on the podcast Millennial Investing and was a very good surprise the way how you laid out all of your knowledge, congratulations was ine of the best episodes. Regarding this steps that you mentioned about Adobe, and relating all information you provide in the podcast Adobe has only 0.68% of closely held shares, as far I understood this is one of the thing that would put you off from this company, right? Inside ownership it's an important factor to consider and in this case doesn't verify, can you please elaborate a bit if this fact would be a decisive factor or not. Thank you in advance and keep doing an amazing work. Nicolau

♡ LIKE (1) 💬 REPLY ↗ SHARE ...

1 reply by Compounding Quality

22 more comments...

